

COMPANY OVERVIEW

Warp is the agentic development environment, born out of the terminal. Founded in 2020 by Zach Lloyd (ex-Google Docs Principal Engineer), Warp rebuilt the command line from scratch with a Rust-based GPU-rendered client, block-based output, and AI agents. 700K+ active devs. \$16M ARR with 19x YoY growth and enterprise ARR up 500%+ Q4-25 to Apr-26. Battery Ventures is leading an in-progress Series C; ID8 has direct primary access via VC partner.

WHY CONSIDER

Exceptional Growth Velocity

\$8.1M (TTM 4Q23) → \$16M ARR Oct-25 (19x YoY). \$1M ARR every 5–10 days. Enterprise ARR up 500%+ Q4-25 → Apr-26 — the cleanest signal of category crossover from individual SaaS to enterprise.

Tier-1 Investor Continuity & ID8 Thesis Fit

Sequoia (Reed) led 2023 Series B at \$280M post; Battery Ventures leading the in-progress C — a new Tier-1 lead entering for the first time, exactly the signal ID8's screening model is built around. Direct primary access via VC partner.

Open-Source Moat

97% diff acceptance, ~3M agents/day, 250M LoC/week. April 2026 OSS release (AGPL v3 client + MIT UI crates, OpenAI sponsor) addresses transparency objections while keeping Oz cloud platform proprietary.

COMPETITIVE LANDSCAPE

COMPETITOR	DESCRIPTION	THREAT
Cursor (Anysphere) US — AI Code Editor	\$2B ARR Feb '26; in talks for \$2B raise at \$50B pre led by a16z+Thrive. 70% of Fortune 1000.	HIGH
Anthropic Claude Code US — Foundation Model + Agent	\$2.5B run-rate Feb '26. 46% "most loved" dev tool. Direct terminal-wedge overlap.	HIGH
GitHub Copilot US — IDE-Native AI / Microsoft	4.7M paid subs, ~37% market share, 90% F100. VS Code distribution + Azure bundling.	HIGH
Windsurf (Cognition) US — Cascade Agentic Workflow	Cognition acquired post-OpenAI deal. ~80% of Cursor capability at 75% price.	MEDIUM
Replit US — Browser IDE / \$3B Sep '25	\$150M ARR Sep '25 (up from \$10M YE '24). ID8 portfolio company.	MEDIUM
iTerm2 / Wave / Win Term. OSS — Legacy Terminals	Free / low-cost, adding AI plugins. Anchor pricing pressure on Warp's individual-dev tier.	LOW

ROUND DETAILS

Round	Series C — In Progress (May 2026)
Round Size	[NOT PUBLIC] — primary round
Pre-Money	[NOT PUBLIC] — terms TBC
Post-Money	[NOT PUBLIC] — terms TBC
New Lead	Battery Ventures (NEW Tier-1 entry)
Existing	Sequoia · GV · Caffeinated · BoxGroup · Sunflower · Mischief · Neo · Contrary
Angels	Benioff · Altman · Lütke · Field · Gil · Weiner
Source VC	VC partner channel — direct primary access
Prev. Round	Series B: \$50M · \$230M / \$280M · Jun '23 · Sequoia (Reed) Series A1: \$17M · \$73M / \$90M · Apr '22 · Dylan Field Seed: \$6M · \$12.5M / \$18.5M · Jun '20 · GV

FOUNDING TEAM

Zach Lloyd Founder & CEO

Stanford BS Symbolic Systems '02; LSE MS Philosophy. 8 yrs at Google (Principal Engineer leading Google Docs). Interim CTO at TIME Inc. Previously co-founded SelfMadeMe; published a public postmortem before founding Warp.

Senior Bench [Diligence Item]

No public co-founder, CTO, VP Eng, CRO, or CFO named in any source. Solo named founder is unusual for a 78-person company at \$16M ARR raising Series C — flag for Battery's diligence pack and key-employee retention plan.

Andrew Reed Partner, Sequoia — Board

Joined the board at Series B (Jun '23). Battery's incoming partner expected to take the additional board seat at C close.

DEAL SCORING

AI Fundamentals	3 / 4
Deal Dynamics	4 / 4
Return Profile	2 / 4
Fundamentals	2 / 4
Terms	2 / 4
Overall	2.6 / 4.0

FINANCIAL SNAPSHOT

METRIC	2024A	2025A	2026E
Revenue / ARR	\$8.1M (TTM 4Q23) [1]~\$16M ARR Oct-25 [2]		\$16M+ [3]
YoY Growth	Pre-revenue [1]	~19x [2]	+\$1M / 5–10d [3]
Enterprise ARR	Not Available	Small base [3]	+500% [3]
Active Devs	Not Available	~700K [4]	~700K+ [4]
Diff Acceptance	Not Available	Not Available	97% [3]
Headcount	44 (Jun '23) [1]	78 (Oct '25) [2]	Not Available
Rev / Employee	Not Available	~\$205K [2]	Not Available
Burn (Est.)	Not Available	Not Available	\$25–40M/yr (UC) [2]
Gross Margin	Not Available	Not Available	Not Available
NDR	Not Available	Not Available	Not Available
Total Raised	\$73.6M [1]	\$73.6M [1]	Series C TBC [5]

RISKS & MITIGANTS

Cursor as Existential Comp — Category Compression

Cursor at ~\$2B ARR vs. Warp's \$16M; agent-mode roadmap encroaches on terminal-anchored agentic surface. Mitigated by market fragmentation (no tool above 29% workplace usage per JetBrains '26) and Warp's terminal-seat differentiation. No structural mitigant if Cursor wins enterprise standardization.

Entry Pricing vs. Comp-Set Ceiling — IC GATING ITEM

Cursor at ~25x ARR sets the category multiple ceiling. If Battery prices the C above 25–30x on \$16M ARR (~\$400–500M post), upside is structurally compressed regardless of growth rate. Single most important data point we don't have yet — must clear before IC.

LLM Suppliers as Co-Competitors — Margin & Platform Risk

Warp depends on Anthropic and OpenAI for inference; same suppliers ship competing products (Claude Code at \$2.5B run-rate, Codex). Partial mitigants: multi-model support (Kimi, MiniMax, Qwen Apr '26), BYO-LLM enterprise tier, OpenAI sponsorship of OSS repo. Supplier dependency persists.

Terminal TAM vs. IDE TAM — Wedge Ceiling

Developer-terminal seat is structurally smaller than IDE seats Cursor and Copilot occupy. Returns case requires Warp to credibly broaden into IDE-replacement workspace; Warp 2.0's embedded editor and OSS release push that direction. Unproven motion at scale.

Solo-Founder Key-Person Risk

No public co-founder, CTO, or VP Eng named in any source. Lloyd's individual track record (Google Docs PE; honest postmortem on first failed startup) is strong, but org-chart and key-employee retention plan must be in Battery's DDQ.

Cap Table Dilution & Founder Equity

Investor ownership 54.8% post-B; pre-revenue at A1 and B raises means meaningful step-up at C must clear public AI dev-tool comps. Confirm whether C includes secondary tranche to refresh founder/employee equity ahead of a long path to exit.

Research date: May 2026 · Live web search used · Internal VC partner channel (Priority 1) · Numbers in slides ([1] [2] [3] [4] [5]) reference rows below · [NOT PUBLIC] / Not Available = unconfirmed

#	SOURCE / PUBLICATION	WHAT WAS FOUND	URL / CITATION
1	PitchBook (PBID 455184-10)	Founded 2020; legal entity Denver Technologies, Inc.; HQ 740 Broadway NYC; full round history through Series B; investor ownership 54.8% post-B; TTM 4Q23 revenue \$8.1M; employee count 44 (Jun '23); Sequoia Series B lead at \$230M pre / \$280M post; share price \$10.9619.	https://my.pitchbook.com/profile/455184-10/company/profile
2	Latka (Warp company page)	~\$16M ARR Oct '25 sourced from Lloyd directly; 78 employees Oct '25; revenue per employee figures.	https://getlatka.com/companies/warp.dev
3	First Round Applied Intelligence + Lloyd LinkedIn (Apr '26)	19x YoY revenue growth; +\$1M ARR every 5–10 days; enterprise ARR up 500%+ Q4-25 → Apr-26; 97% diff acceptance; ~3M agents/day; 250M lines of code/week; Lloyd's internal AI-prompt mandate.	https://www.firstround.com/ai/warp · https://www.linkedin.com/in/zachlloyd/
4	warp.dev (Series B announcement + product pages)	700K+ active developers; product architecture (terminal + agents + Oz cloud platform); pricing tiers (Free, Build, Team, Enterprise); BYO-LLM for compliance.	https://www.warp.dev/blog/warp-drive-series-b · https://www.warp.dev/
5	Internal — VC partner channel (May 2026)	Battery Ventures leading Warp Series C primary; ID8 has direct primary access. Round size, pre/post valuation, and terms not yet confirmed. Pre-public — flag any external mention.	[Internal — VC partner, May 2026]
6	Warp blog + GitHub + Help Net Security (Apr 28–30 '26)	Open-source release of Warp client under AGPL v3; UI framework crates (warpui_core, warpui) under MIT; OpenAI as founding sponsor of the repo with GPT models powering agent workflows; Oz cloud agent platform remains proprietary.	https://www.warp.dev/blog/warp-is-now-open-source · https://github.com/warpdotdev/warp
7	TechCrunch + Bloomberg (Apr 17 '26) — Cursor comp	Cursor in advanced talks for \$2B raise at \$50B pre, co-led by a16z + Thrive, Battery + Nvidia participating; \$2B ARR Feb '26; 70% of Fortune 1000; xAI deal Apr 21 for right to acquire at \$60B.	https://techcrunch.com/2026/04/17/sources-cursor-in-talks-to-raise-2b/
8	Pragmatic Engineer Survey (Feb '26) + JetBrains 2026 Dev Survey	Claude Code 46% "most loved" rating among 15K developers (vs. Cursor 19%, Copilot 9%); \$2.5B run-rate by Feb '26; 6x YoY enterprise growth — fastest of any AI coding tool measured. Direct overlap with Warp's terminal wedge.	https://www.gradually.ai/en/claude-code-statistics/
9	Sacra + 20VC + Product Market Fit Show (Lloyd interviews, Oct '25)	Lloyd's career history; Warp's pre-AI three years (700K free users, no revenue); 2024 AI pivot as the unlock for monetization; Cursor framing.	https://sacra.com/c/warp/ · https://www.thetwentyminutevc.com/zach-lloyd
10	TheNextWeb / Wikipedia (Cursor Series E coverage)	Cursor funding history: Seed \$8M Oct '23 → A \$60M (\$400M, '24) → B \$2.6B → C \$9.9B Jun '25 → D \$29.3B Nov '25 → E talks \$50B+. Composer in-house model; Bugbot at \$40/seat.	https://thenextweb.com/news/cursor-anysphere-2-billion-funding-50-billion-valuation-ai-coding